

Capital Assets

One thing all these capital assets have in common. **A capital asset might reasonably be valued on the basis of the net present value of its expected returns.** Therefore, everything else being equal (which it never really is), a financial capital asset (such as a stock or a bond) will decline in value as the investor's discount rate increases, or rise as that rate decreases. This economic characteristic unifies the superclass of capital assets.

Consumable/Transformable (C/T) Assets

You can consume it. You can transform it into another asset. It has economic value. But it does not yield an ongoing stream of value... . The profound implication of this distinction is that C/T assets, not being capital in nature, cannot be valued using net present value analysis. This makes them truly economically distinct from the superclass of capital assets. **C/T assets must be valued more often on the basis of the particular supply and demand characteristics of their specific market.**

Store of Value Assets

The third superclass of asset cannot be consumed; nor can it generate income. Nevertheless, it has value; it is a store of value asset. One example is fine art... . A broader and more relevant example is the category of currency, either foreign or domestic ... store of value assets, can serve as a refuge during uncertainty (U.S. Cash), or offer currency diversification to the portfolio. [*Author note: He does not define how to price it.*]

Greer's superclasses are not clear-cut, as some assets can fall into two camps. For example, precious metals are both C/T assets and store of value assets. They are used in the circuitry of electronics or transformed into ornate forms of decoration (C/T asset), and they are also held solely as bars of value, not meant for consumption or transformation of any kind (store of value asset).

Cryptoassets most obviously fall into the C/T realm because they have utility and are consumed digitally. For